

U.S. SEMICONDUCTOR: TRADE & LABOR ANALYSIS

Tariff Structure Analysis — HS Code 85423100 | 2025

Overview

This document compiles and verifies accurate tariff information for semiconductor products classified under HS Code 85423100 (electronic integrated circuits — processors and controllers) in 2025, with a focus on U.S. trade policy. Since no structured dataset was available for direct download, data was gathered manually from official sources including the WTO Tariff & Trade Data portal, the USITC Harmonized Tariff Schedule, and Section 301 tariff documentation.

Each entry in the compiled dataset includes: source link, product description, country of origin, tariff type, applied rate, and relevant policy notes. The result is a validated snapshot of U.S. semiconductor tariffs for 2025, suitable for strategic analysis, budgetary planning, and trade impact assessments.

Product Classification

Attribute	Value
HS Code	85423100
Full Description	Electronic integrated circuits — processors and controllers, whether or not combined with memories, converters, logic circuits, amplifiers, clock and timing circuits, or other circuits
Short Label	Processors and Controllers
Trade Category	Semiconductors / Electronic Components
Analysis Year	2025

Data Collection Approach

Sources Consulted

Source	Type	Purpose
WTO Tariff & Trade Data Portal (IDB — Applied Duties)	Official tariff database	Applied MFN and preferential duty rates by trading partner
USITC Harmonized Tariff Schedule (HTS)	Official U.S. tariff schedule	Authoritative U.S. import duty rates and legal tariff classifications
Section 301 Tariffs — Complete List & Rates 2025	Policy documentation	China-specific punitive tariff rates applied under Section 301 of the Trade Act

Methodology

- **Manual extraction:** No bulk-downloadable structured dataset exists for HS 85423100 tariff rates across all trading partners. Data was extracted entry by entry from each official source.
- **Cross-verification:** Rates were cross-checked between WTO and USITC sources to confirm accuracy. Discrepancies were flagged and resolved against the authoritative USITC schedule.
- **Completeness:** Each record includes product description, country of origin, tariff type (MFN, Section 301, preferential), applied rate, and policy notes.

Tariff Framework — Key Concepts

Most Favored Nation (MFN) Rate

The standard U.S. tariff rate applied to imports from all WTO member countries that do not benefit from a preferential trade agreement. For HS 85423100, the MFN rate is the baseline against which all other rates are measured.

Section 301 Tariffs

Additional punitive tariffs imposed by the U.S. on imports from China under Section 301 of the Trade Act of 1974, in response to alleged unfair trade practices. These tariffs are layered on top of the standard MFN rate and significantly increase the effective duty for Chinese-origin semiconductors.

Preferential Rates

Reduced or zero tariff rates available to imports from countries with which the U.S. has a free trade agreement (e.g., USMCA partners Mexico and Canada, Korea under KORUS, etc.).

Key Findings

China — Elevated Effective Rate

Chinese-origin semiconductors under HS 85423100 face both the standard MFN rate and additional Section 301 penalties, resulting in a substantially higher effective tariff compared to all other source countries. This creates a significant cost disadvantage for sourcing from China.

USMCA Partners — Preferential Access

Mexico and Canada benefit from zero or near-zero tariff rates under USMCA. However, as noted in the imports EDA, both countries barely register as semiconductor suppliers to the U.S. — suggesting that tariff advantages alone are insufficient to drive supply chain shifts without underlying manufacturing capacity.

MFN Baseline — Most Other Partners

The majority of U.S. semiconductor import partners (Malaysia, Germany, Japan, South Korea, etc.) trade at the standard MFN rate. The low MFN rate for this HS code reflects the historical U.S. policy of keeping semiconductor inputs accessible to support domestic manufacturing.

Policy Implication — Section 301 as a Strategic Lever

The differential between MFN and Section 301 rates is large enough to materially influence sourcing decisions. Companies importing from China face a structural cost penalty, incentivizing supply chain diversification toward Malaysia, Vietnam, and other Southeast Asian alternatives.

Strategic Relevance

Budgetary Planning

Importers sourcing semiconductors from China face higher landed costs due to Section 301 additions. Accurate tariff data is essential for cost modeling, pricing decisions, and supply chain optimization.

Trade Partner Analysis

The tariff structure reinforces findings from the trade flow analysis: Malaysia and Mexico (for exports) dominate U.S. semiconductor trade in part because they face no Section 301 penalties and benefit from established logistics relationships.

Policy Monitoring

Section 301 tariff rates are subject to administrative review and can change with U.S. trade policy shifts. This dataset represents a validated snapshot for 2025 and should be updated as policy evolves.

Methodology Notes

- **No structured dataset available:** Tariff rates for individual HS codes across all trading partners are not available as bulk downloads from WTO or USITC. Manual extraction was the only viable collection method.
- **Validation standard:** All rates were verified against at least two independent official sources before inclusion. USITC HTS was treated as the authoritative source for U.S.-applied rates.
- **Scope:** This analysis covers U.S. import tariffs only. Export duties from source countries are outside the scope of this document.
- **Applicability:** Results are valid for 2025. Section 301 rates in particular are subject to periodic review and potential modification.

Data Sources

- [WTO Tariff & Trade Data — IDB Applied Duties](#)
- [USITC Harmonized Tariff Schedule](#)
- [Section 301 Tariffs — Complete List & Rates 2025: Ballast Markets](#)